

6-7 Appendix Estimating Inventory Cost

A business may need to estimate the amount of inventory for the following reasons:

- Perpetual inventory records are not maintained.
- A disaster such as a fire or flood has destroyed the inventory records and the inventory.
- Monthly or quarterly financial statements are needed, but a physical inventory is taken only once a year.

Objective 8 - Describe and illustrate the estimation of inventory using the retail and gross profit methods of inventory costing.

This appendix describes and illustrates two widely used methods of estimating inventory cost.